# PSCI 3350.001 Comparative Politics

## Lecture 3: Economics and political development

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# Today's puzzle

> Does economic development cause political development — and if it does, in which direction does the causal arrow run?

Ishiyama surveys **three answers** that disagree about almost everything: where to look, what the unit of analysis is, and whether the Western path can be repeated at all.

# Learning goals

By the end of class you should be able to:

1. State what **modernization theory** claims and name the main versions of "political development" inside it
2. Distinguish **social mobilization** from **political institutionalization**, and explain why Huntington needs both
3. Explain how **dependency theory** inverts the modernization story
4. Say what **statism** adds that neither of the other two can explain
5. Compare all three on the dimensions in Table 3.4
6. Separate **endogenous** from **exogenous** democratization, and say which one Przeworski and Limongi's evidence supports
7. Define **state making** as Tilly uses it, and explain why he calls European state institutions byproducts
8. Place a bureaucracy on Fukuyama's two dimensions, **capacity** and **autonomy**

# Part 1: Modernization theory

# Older than political science

Modernization theory is "less a coherent theory than an approach." Its roots run back to the Enlightenment conviction that people can change their own conditions.

| | |
|---|---|
| **Condorcet** | Technology and economic transformation let humankind alter its moral and cultural values |
| **Saint-Simon** (1760–1825) | Economic development and technology can better social conditions |
| **Comte** (1798–1857) | Modernization ushers in a "positive" scientific era |
| **Marx** | Industrialization of the economic **base** changes the social and political **superstructure** |

The common thread: **economic change comes first, and political change follows**.

# Durkheim: complexity and anomie

Durkheim asked what industrialization does to the **division of labour**.

- All societies must perform certain functions — security, political leadership, spiritual leadership
- What differs is the **complexity** of the division of labour that performs them
- Simple societies need little complexity to hold order; industrial capitalism forces functional differentiation

**Anomie.** Older certainties — God above all — are called into question by science and technology, producing **a widespread sense of rootlessness**, and with it criminality and social violence.

# Parsons: traditional and modern as ideal types

**Table 3.1** · Traditional vs. modern societies

| | Traditional societies | Modern societies |
|---|---|---|
| How is social status determined? | Ascriptive status | Achievement status |
| What social roles do people play? | Diffuse roles | Specific roles |
| Are values universal or case-dependent? | Particularistic values | Universalistic values |
| Which matters more, group or individual? | Collectivity orientation | Self-orientation |
| Immediate reward, or postponed for future benefit? | Affectivity | Affective neutrality |

These are **ideal types anchoring a continuum**, not descriptions. No society is purely one or the other — every real society sits somewhere between.

# Lipset: the strong claim

In *Political Man* (1959) Lipset argued for a **direct relationship** between industrialization and political democracy.

- Economic modernization creates the **social requisites** of democracy: a large, vibrant, literate middle class, and wealth
- He found direct correlations between democracy and higher **urbanization**, higher **literacy**, and greater **per capita income**

From correlation he concluded causation: economic development has **a direct causal relationship with political democracy**.

# Deutsch: not democracy — mobilization

Karl Deutsch (1961) accepted the disruption but refused Lipset's conclusion.

> the process in which the major cluster of old social, economic and psychological commitments are eroded or broken and people become available for new patterns of socialization and behavior
>
> — Deutsch (1961, p. 494), defining **social mobilization**

Industrialization moved populations from countryside to city. People who had identified with a locality now made new acquaintances, learned new things, and questioned their own identity — which is how **national** identities emerged.

Politically, mobilization expands "the politically relevant strata of the population" — **those persons who must be taken into account**. Whether that ends in stability or disorder depends on how the existing system copes.

# Almond and Coleman: five crises

Economic modernization creates **crises** a political system must resolve. What results depends on how it copes.

| Crisis | What it is |
|---|---|
| **Identity** | Local ties break; a new sense of community — usually national — must form |
| **Legitimacy** | Divine right gives way to the idea that rule rests on the consent of the governed |
| **Participation** | A "revolution in rising expectations" generates demands to take part in governing |
| **Penetration** | New institutions must link rulers to ruled directly, replacing indirect rule through nobles |
| **Distribution** | New social groups demand their material share of the economic pie |

# What is "political development"?

The term does not mean one thing, and the disagreement matters.

## Lipset

A politically developed state is one that is **democratic**.

## Beer (1973)

Development is the **expansion of the bureaucratic state** — patterns of interests create patterns of power, which generate new interests, *ad infinitum*.

## Huntington (1965, 1968)

Development is **political institutionalization**: "the process by which organizations and procedures acquire value and stability."

Notice what follows. On Beer's and Huntington's definitions, **a country can develop politically without becoming any more democratic**.

# Huntington's four dimensions

How do you tell whether a political system is institutionalized?

| Dimension | The question |
|---|---|
| **Adaptability / rigidity** | Can it survive a change in its environment? |
| **Complexity / simplicity** | Is there a division of labour, with redundant structures? |
| **Autonomy / subordination** | Is it independent of any single social group? |
| **Coherence / disunity** | Is there a unity of purpose holding it together? |

Adaptability has three measures: **chronological age**, **generational age** (how many leadership transitions), and **functional age** (how many times it has changed what it does).

# Note: what does institutionalization measure?

Huntington's **generational age** measures a system's adaptability by counting:

- The number of years since the organization was founded
- The number of leadership transitions it has been through
- The number of times it has changed its function
- The number of social groups it represents

The second. A system can be chronologically ancient and still fragile if **one leader has never been replaced**.

# Two variables, four outcomes

**Table 3.2** · Huntington's classification of regime types

| | Institutionalization high | Institutionalization low |
|---|---|---|
| **Social mobilization high** | Civic | Corrupt (praetorian) |
| **Social mobilization low** | Contained | Primitive |

**Table 3.3** · Country examples

| | Institutionalization high | Institutionalization low |
|---|---|---|
| **Social mobilization high** | The United States · Great Britain · **the Soviet Union** | Most of the developing world |
| **Social mobilization low** | Contained — perhaps colonial societies | Traditional agrarian monarchies (Imperial Ethiopia) |

Outcomes are the product of the **interaction** of the two, not of either alone. Mobilization without institutions is **not development but decay**.

# The entry that should stop you

The Soviet Union is filed under **civic** — beside the United States and Great Britain.

Ishiyama's reasoning: the USSR modernized massively and fast in the 1930s, generating extensive mobilization pressure. The system was **complex**, **autonomous**, and armed with a legitimising ideology, so it met those demands — or contained them by repression and violence — and survived.

Britain and the United States built institutions **before** industrialization, which Chapter 2 treated as something close to a historical accident. The Soviet Union built the state and transformed the economy at the same time — **rather like building a ship in a stormy sea**.

# Modernization theory in summary

Whatever version, three commitments recur:

1. Political development is a **consequence** of economic development — the political system evolves in response to economic stimuli
2. The approaches rest on **historical observation of the West**, particularly Europe
3. The key intervening variable is often **political culture** — the subject of Chapter 4

Point 2 is the opening dependency theory will attack, and **it is the same parochialism Macridis complained about in Chapter 1**.

# Part 2: Dependency

# A different room, a different answer

While modernization theory developed among North American political scientists, a rival grew in post-war **Latin America**, rooted in neo-Marxism and dissatisfied with the international economic order.

| | |
|---|---|
| **Prebisch** (1950) | Research at ECLA: falling wealth in poor countries correlates with rising wealth in rich ones |
| **Baran** (1957) · **Frank** (1966, 1967) | International capitalism produced the **de-development** of the developing world |
| **dos Santos** (1970) | A "new dependency" — external relations are *articulated* internally |
| **Cardoso** | Growing disparities between centre and periphery, written in exile |
| **Wallerstein** (2004) | The "World System" and the history of international capitalism |

# The development of underdevelopment

Frank's claim, introduced to an American audience in 1966: poverty in the developing world is **not** a starting condition that development will cure. It is a **product** of world capitalism.

**The Indian textile case.** Before the British East India Company, textile production — largely household industry — employed a great many people and was extensive. Cheap manufactured imports followed the British, **destroyed the indigenous industry, and created mass unemployment and poverty**.

So the periphery is not "behind." It was actively **de-developed**.

# Two more breaks with modernization theory

**1 · The international system is missing.** Modernization theory explains development by internal structural factors, with no reference to the international environment.

**2 · The Western path is assumed repeatable.** Marx himself wrote, in the 1867 preface to *Das Kapital,* that "the country that is more developed industrially only shows, to the less developed, the image of its own future."

Dependency's reply: the West industrialized **before** the world capitalist system consolidated — indeed the West created it. Countries developing now face **an obstacle their predecessors never had to pass**.

# Figure 3.1 · Imperialism, nineteenth century

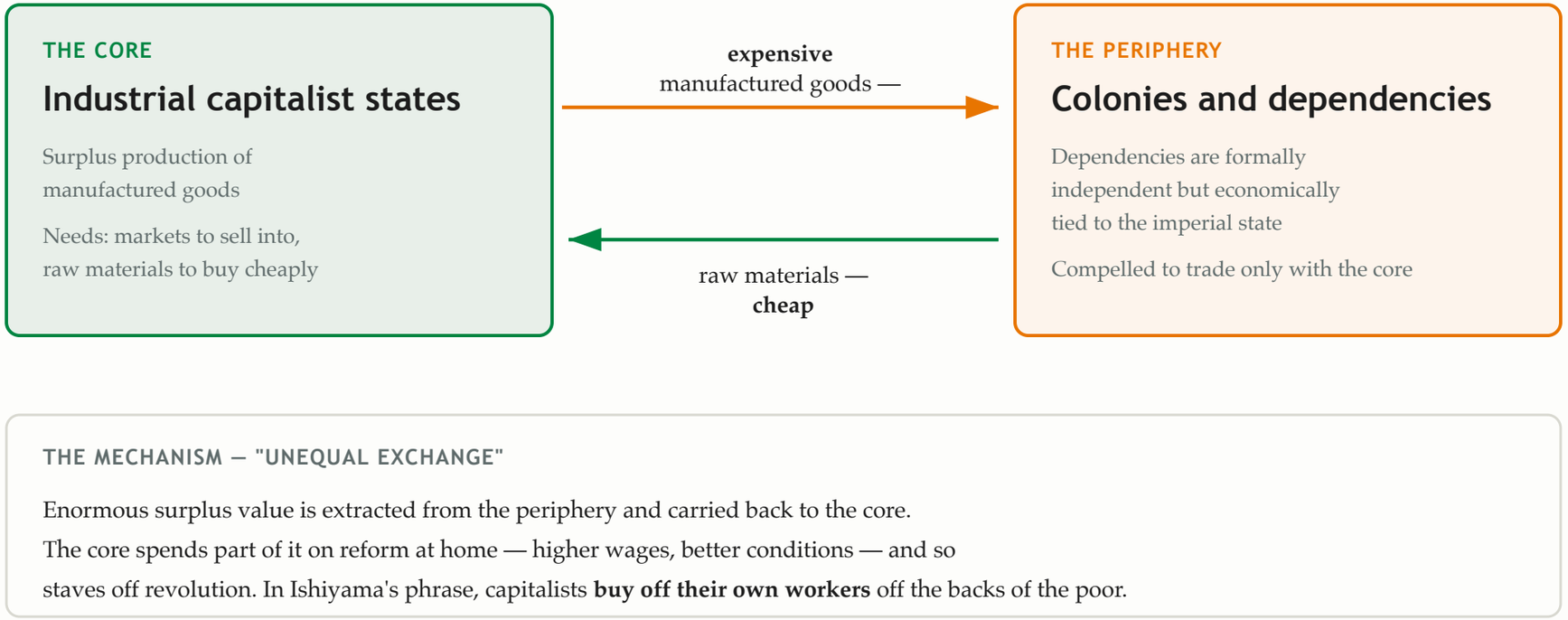



Figure 1: Recreated from Ishiyama, Figure 3.1. Click to enlarge.

# Figure 3.2 · Neo-imperialism, twentieth century

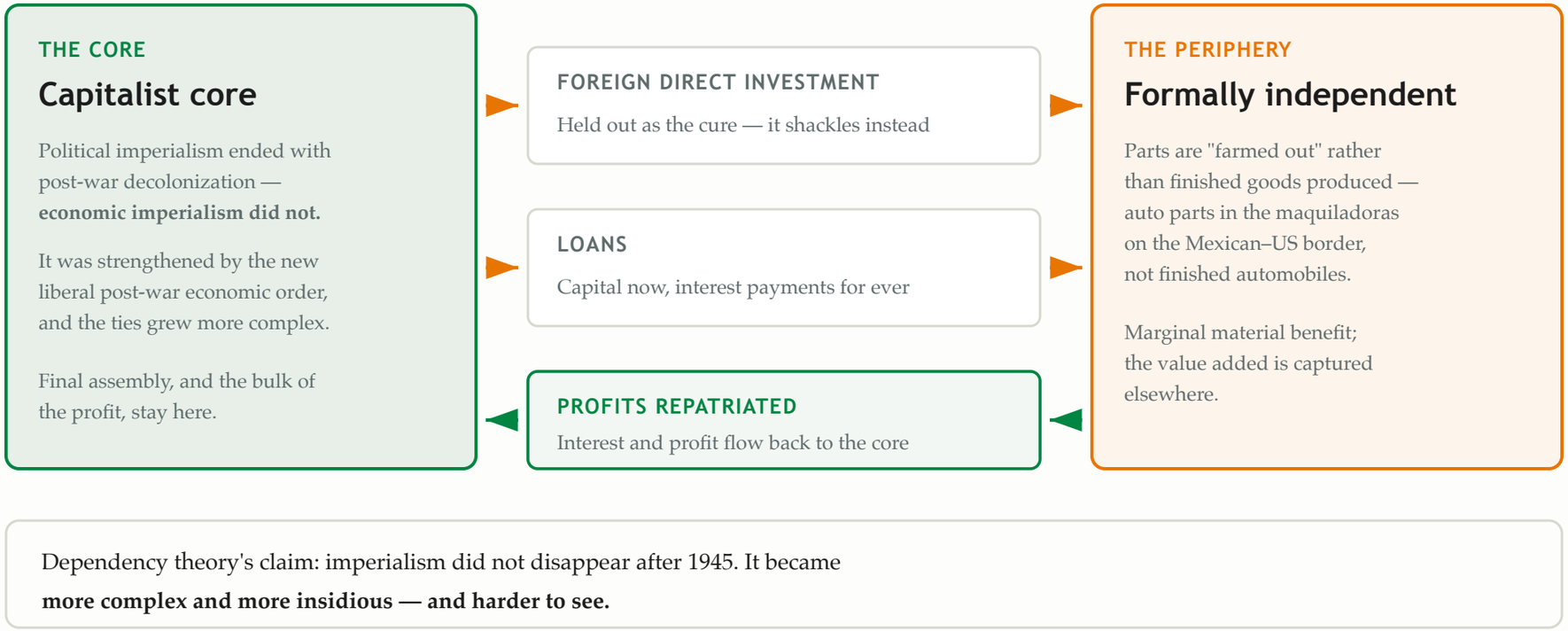



Figure 2: Recreated from Ishiyama, Figure 3.2. FDI, foreign direct investment. Click to enlarge.

# Figure 3.3 · The internal articulation

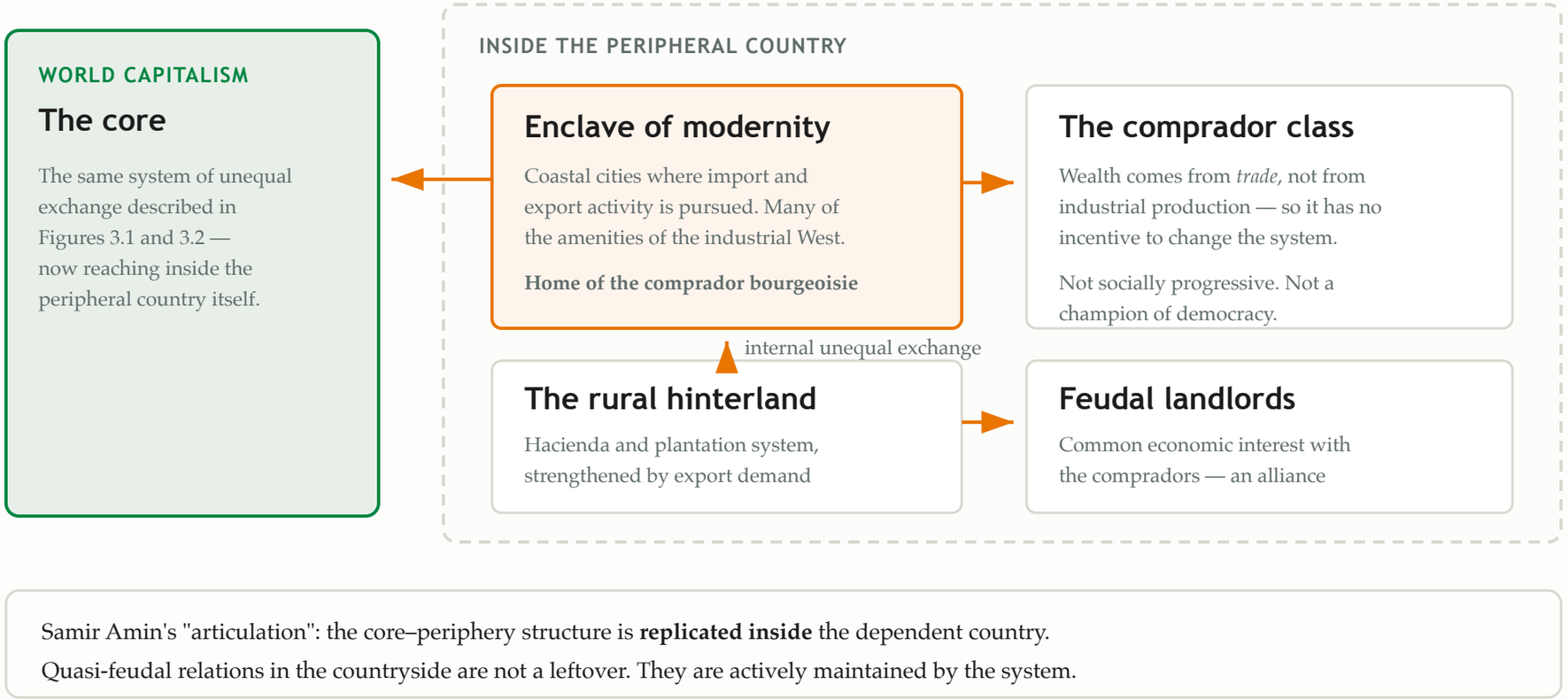



Figure 3: Recreated from Ishiyama, Figure 3.3. Click to enlarge.

# Why dependency implies authoritarianism

In the West the bourgeoisie was the **progressive** class — it dismantled feudalism and opened the way to democracy.

In the periphery the comprador bourgeoisie is nothing of the kind. Its wealth comes from **trade**, not industrial production, so it has no reason to change the system, and every reason to keep the masses unempowered.

And if a populist leader does emerge from the masses — usually through the ranks of the military — he is likely to reject bourgeois democracy as Western and corrupt. So from this perspective there is **little hope for democracy while dependent relations persist**.

# Note: what does "de-development" claim?

- Poor countries have not yet begun the development process
- Poverty in the periphery is a product of the expansion of world capitalism, not a starting condition
- Development stalls because peripheral states adopt the wrong values
- Peripheral countries will eventually resemble the core, as classical Marxists expected

The second. **The periphery is not behind. It was actively made poor.**

# Part 3: Statism

# The anomaly

Classical dependency says the periphery can never catch up. But some countries plainly did.

**Japan · Russia · Turkey**, and more recently the Asian Tigers — **Taiwan, Singapore, South Korea**.

Scholars trained in the dependency tradition — **Evans**, **Rueschemeyer**, **Skocpol** — began to question whether dependency travelled beyond Latin America. Some peripheral countries were catching up, and doing it through **state-led industrialization**.

# What both other theories missed

The statist critique: modernization theory and dependency theory are both **society-centred**. Each ignores the role the state itself plays in capital accumulation and investment.

## Liberal state

An **arena** in which interests compete.

## Marxist state

A **tool** of the dominant class.

## Weberian state

"A human community which claims the monopoly of the legitimate use of physical force within a given territory."

In the first two the state is an **object with no interests of its own**. For Weber it is a community — so it has interests, and **the paramount one is survival**.

# Politics as the cause

What drives a state to modernize is **the threat posed by external enemies**. Rapid industrialization raises military capacity, and military capacity buys security.

So the arrow reverses. For modernization theory politics reflects internal economic change; for dependency it reflects external economic structure. For statism, **politics is a cause of economic transformation**.

# Part 4: Comparing the three

# Table 3.4 · The three approaches compared

| | Modernization theory | Dependency | Statism |
|---|---|---|---|
| **Unit of analysis** | State | Global system | State |
| **Can earlier models be replicated?** | Yes | No | Yes |
| **Economic development is possible…** | when modern values are adopted | only when the international economic order changes | as the result of voluntaristic action by the state |

Read the middle row as the fault line. If earlier models **cannot** be replicated, then every reform proposal built on a Western template is answering the wrong question.

# Note: whose unit of analysis?

Which approach takes the **global system** rather than the state as its unit of analysis?

- Modernization theory
- Dependency theory
- Statism
- All three, since each studies countries in an international context

Dependency. **For modernization theory and statism alike the unit is the state** — development is a function of what happens inside a country's borders, or of what its state chooses to do.

# Part 5: Testing the claim

# One correlation, two explanations

Lipset's finding — richer countries are more often democratic — is not in dispute. **Przeworski and Limongi (1997)** point out that it is also **not self-explaining**.

| | |
|---|---|
| **Endogenous** democratization | Development *causes* democratization. As a dictatorship grows richer, it becomes more likely to become a democracy. This is modernization theory |
| **Exogenous** democratization | Democracies arise for all sorts of reasons, more or less independently of development — but once established, they are far more likely to **survive** where incomes are high |

Both stories predict the same correlation. **That is precisely why the correlation cannot settle the question**.

# What the data say

Przeworski and Limongi's answer, from regime histories across the developing and developed world since 1950:

- Transitions to democracy are **not** reliably more likely as dictatorships grow richer
- But democracies **die** at low incomes and almost never die at high ones

> No democracy in the sample ever fell in a country richer than **Argentina in 1975** — a per capita income of **$6,055**.

So the correlation between wealth and democracy is produced mainly by **where democracies survive, not by where they are born**.

# Note: which explanation survives the test?

Przeworski and Limongi's evidence supports:

- The endogenous explanation — as dictatorships grow richer they democratize
- Both explanations about equally
- Neither; the association disappears once region is controlled for
- The exogenous explanation — development does not make democracy more likely to *arrive,* but makes it far more likely to *last*

The exogenous explanation. **Development does not reliably produce transitions; it protects democracies that already exist**.

# Note: what would the rival predict?

If the **endogenous** explanation were correct, what should we observe?

- Rich countries are democratic more often than poor countries
- The rate at which authoritarian regimes transition to democracy rises as their income rises
- Democracies in rich countries last longer than democracies in poor countries
- Democracies grow economically faster than dictatorships

Rising transition rates with rising income. **The first option is the thing to be explained**, not a test — and the third is what the *exogenous* story predicts.

# Part 6: Before development, the state

# A prior question

All three approaches in this lecture assume something they do not examine: that there **is** a state — one that can tax, enforce, and act on whatever strategy it adopts.

> Statism makes the state the explanation of development. **Tilly and Fukuyama ask where the state itself came from, and what makes one capable**.

These were the readings for **Session 3 · September 24**, and they sit on this quiz block. Ishiyama has no chapter on state capacity, which is why the two articles carry it.

# Tilly: four activities

**Charles Tilly (1985)**, "War Making and State Making as Organized Crime." European rulers did four things:

| | |
|---|---|
| **War making** | Eliminating or neutralizing rivals **outside** the territory they claimed |
| **State making** | Eliminating or neutralizing rivals **inside** that territory |
| **Protection** | Eliminating or neutralizing the enemies of their clients |
| **Extraction** | Acquiring the means of carrying out the first three |

Note what *state making* means here. It is not building a bureaucracy — **it is winning the internal fight**. The bureaucracy comes later, and comes by accident.

# Note: what does "state making" mean?

In Tilly's usage, **state making** refers to:

- Constructing the bureaucratic and fiscal machinery through which a ruler governs
- Securing the consent of the governed through representative institutions
- Eliminating or neutralizing rivals inside the territory the ruler claims
- Eliminating or neutralizing rivals outside that territory

Rivals **inside** the territory. The fourth option is *war making*; the first is what state making **produced rather than what it denotes**; the second is the social-contract story Tilly is writing against.

# The racket, and the byproduct

> "Someone who produces both the danger and, at a price, the shield against it is a racketeer."

Banditry, piracy, gangland rivalry, policing and war making, Tilly argues, belong **on the same continuum** — and war making and state making are "quintessential protection rackets with the advantage of legitimacy."

The consequence that matters. Rulers did not set out to build states; they set out to make **war**, which required **extraction**, which required **bargaining** with the populations they extracted from. Taxation systems, courts, assemblies — and eventually rights — emerged from that bargaining as **unintended byproducts**.

# Why Europe's bargain may not repeat

Tilly's warning about the contemporary developing world:

- European rulers had to extract the means of war from **their own populations**, and had to concede to get them
- Today's state builders can obtain military power from **outside** — arms, training, subsidy, alliance

Where coercive capacity arrives from abroad, **the bargain is never struck** — and the historical link between making war and extending citizen rights is broken.

# Fukuyama: what is governance?

Governance is "a government's ability to **make and enforce rules, and to deliver services**" — **regardless of whether that government is democratic or not**.

- It is a property of the **executive and its bureaucracy**, not of the regime
- A government can be democratic and badly governed, or authoritarian and well governed
- It is about the performance of agents in carrying out the wishes of principals, **not** about the goals the principals set

So the common practice of folding "voice and accountability" into a governance index **makes it impossible to ask whether democracy improves governance** — the answer has been built into the instrument.

# Capacity and autonomy

Fukuyama's proposal: locate any bureaucracy on **two** dimensions.

| | |
|---|---|
| **Capacity** | Resources and professionalization — can it actually do things? |
| **Autonomy** | How much discretion it has, versus how tightly rules and political principals bind it |

There is no single right amount of autonomy. The optimum is **conditional on capacity**: give a low-capacity bureaucracy wide discretion and you get predation; **bind a high-capacity one in detailed rules and you waste the expertise you are paying for**.

# Note: how much autonomy is right?

On Fukuyama's account, the optimal degree of bureaucratic autonomy:

- Is as high as possible, since autonomy insulates officials from political interference
- Depends on capacity — less discretion for low-capacity bureaucracies, more for high-capacity ones
- Is as low as possible, since unelected officials should be tightly bound by rules
- Is set by regime type, with democracies requiring less autonomy than autocracies

It depends on capacity. **Fukuyama refuses both unconditional positions** — and the first and third between them are what most readers bring to the article.

# Where this leaves the argument

> Ishiyama's own summing up: there is broad consensus that the economic environment is **a crucial explanatory factor** for the emergence of political forms, including democracy — while the debate over how it matters remains open.

But the test tightens the claim. Przeworski and Limongi's evidence says development does not reliably *produce* democracy — it *protects* it. And Tilly and Fukuyama put a prior condition under all three approaches: **none of them works without a state capable of acting**.

Chapter 4 turns to the variable modernization theory kept treating as the intervening step: **political culture**.

# For your dossier

Round 2 asks for a context diagnosis including **political economy**. This chapter gives you three incompatible ways to write that section.

Three things to try this week:

- Ask which of the three approaches your **focal country's** trajectory best fits — and which one your comparator fits. If they differ, that difference *is* your Round 3 argument
- Locate your focal country on Huntington's two dimensions. Is its problem mobilization, institutionalization, or the gap between them?
- If your team is drawn to a structural explanation, name the **mechanism** linking structure to politics. Haggard and Kaufman's complaint about structural theories was precisely that the mechanism goes missing
- Say whether your focal country's state capacity problem is **capacity**, **autonomy**, or the mismatch between them. "Weak institutions" is not a diagnosis
- If its security apparatus is externally supplied, Tilly predicts something specific about the bargain that was never struck. Check whether the record bears it out

# For next session

## Session 5 · October 8 — When do identities become political?

- **Ishiyama**, Chapter 4: Political Culture and Ethnopolitics
- Due: **claim-evidence map**
- **Quiz 3** at the start of the meeting
- **Group B · Round 2** presentations

Chapter 4 takes up the intervening variable this chapter kept deferring — and asks whether culture explains anything **that economics has not already explained**.